

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 802

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO LOCAL LAND USE PLANNING; AMENDING CHAPTER 65, TITLE 67, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 67-6542, IDAHO CODE, TO ESTABLISH PROVISIONS ALLOWING FOR MULTIFAMILY RESIDENTIAL HOUSING DEVELOPMENTS IN AREAS ZONED FOR COMMERCIAL USE; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 65, Title 67, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 67-6542, Idaho Code, and to read as follows:

67-6542. MULTIFAMILY RESIDENTIAL HOUSING DEVELOPMENTS IN COMMERCIAL USE ZONES. (1) The legislature finds that Idaho communities face a shortage of housing close to jobs, schools, and services. Authorizing multifamily residential housing developments in commercial zones allows developers to make use of underutilized office space, increase housing supply, reduce commute times, and promote economic growth.

(2) Cities shall permit multifamily residential housing developments in areas zoned for commercial use in accordance with the provisions of this section and subject to the same siting, design, and development standards that apply to other commercial use in the same zoning district. "Commercial use" means any zoning district established by a local government where the primary permitted uses are retail, office, or other non-residential commercial activity.

(3) By resolution or ordinance adopted, amended, or repealed in accordance with the notice and hearing procedures provided under section 67-6509, Idaho Code, each city governing board shall amend its comprehensive plan and land use regulations for all land zoned for commercial use to:

(a) Allow for multifamily residential housing developments in districts zoned for commercial use as provided for in this section; and

(b) Prohibit requiring more than one (1) parking space per dwelling unit within a multifamily residential housing development, unless a demonstrated site-specific safety or infrastructure capacity concern justifies additional parking.

(4) Multifamily residential housing development projects that meet the jurisdiction's established land use requirements shall be approved administratively and as a matter of right, without the need for discretionary approval. Such projects shall not be subject to permitting or review that is not applied to other projects that are approved as a matter of right in a commercial use zone.

(5) Any approval standards, including siting and design, adopted by a local government shall be clear and objective and shall not have the effect,

1 either singularly or cumulatively, of rendering the development of multi-
2 family residential housing economically infeasible.

3 (6) A property owner, housing provider, or other affected party may
4 bring a private cause of action for injunctive relief, monetary damages,
5 reasonable attorney's fees and costs, and any other appropriate relief
6 available under the law to enforce compliance with the provisions of this
7 section.

8 (7) The provisions of this section shall not apply to:

9 (a) Land zoned exclusively for industrial use;

10 (b) Areas designated as floodplain, steep slope, or critical environ-
11 mental hazard;

12 (c) Parcels located within the approach area of an airport runway, de-
13 fined as one-half (1/2) mile laterally and one (1) mile longitudinally
14 from the outer limits of a runway protection zone; and

15 (d) Parcels located within an airport overlay district, airport influ-
16 ence area, or airport zoning district adopted by a state or local gov-
17 ernment within the state of Idaho.

18 SECTION 2. An emergency existing therefor, which emergency is hereby
19 declared to exist, this act shall be in full force and effect on and after
20 July 1, 2026.